Acquisition financing comparison

Synthetic demonstration | Annual | USD millions

Question: how do cash, borrowing and share consideration affect liquidity, debt service and dilution?

Strict actual-company recommendation: Blocked — insufficient verified evidence.

Mixed consideration is the only base structure passing all period constraints. It is conditional on accepting its dilution, cash policy and downside outcomes; severe stress may still fail.

Structure	New debt	Min cash	Interest	Screens
Cash-first	1,340.1	472.3	476.1	Breach
Liquidity-first	2,223.4	405.1	548.1	Breach
Mixed consideration	304.6	750.0	169.7	Pass

Capacity and funding

Structure	Acquisition debt capacity	Residual analytical equity
Cash-first	948.0	222.0
Liquidity-first	1,764.0	276.0
Mixed consideration	150.0	0.0

A missing feasible point includes the zero-acquisition-debt test under this operating policy; it is not proof of zero standalone lending capacity. The grid can miss narrow feasible regions. Fee convention: fixed_budget.

Cash, working capital and uses

Cash contribution is separate from retained cash. Synthetic seasonal inventory and payment timing can make quarterly capacity lower than annual capacity.

Uses separately identify purchase consideration, award reserves, debt repayment, call premiums, accrued interest, transaction expenses, financing fees and collateral.

What drives the result?

Scenario	Structures passing the model screens
Moderate combined	None
Severe combined	None
Assumed refinancing	Cash-first, Liquidity-first, Mixed consideration

Operating uncertainty

Fictional company growth, margins, inventory seasonality and fixed costs are explicit demonstration inputs. Revenue and margin stresses test their consequences.

Compare revenue, margin, inventory, rates, synergy delivery and assumed refinancing. No annual pass establishes quarterly liquidity sufficiency.

Timing and execution limits

All selected-frequency periods, including closing, enter capacity and reverse stress. Beginning-principal interest and period-end payments approximate intra-period maturities. Quarterly tests reduce timing aggregation but do not establish daily liquidity. Public forecasts remain annual because historical quarterly inputs are incomplete.

Post-breach balances continue mechanically to identify funding needs; they are not an executable path. Refinancing is an assumption, not a commitment. Analytical leverage and coverage screens are not legal covenants. Private consent and exceptional settlement obligations prevent a complete company-specific financing preference.

Source trail

Synthetic facts are fictional and deterministic. See tests/full_benchmark.json, the independent Decimal financing-fee test, and METHODOLOGY.md. The separate strict assessment uses the 15 May 2025 information cutoff.